

TAXI

ON SHAKY GROUND

The financial performance of the cab-hailing firms hasn't been impressive

Total revenue (₹ crore)

	FY19	FY20	FY21	FY22
 OLA →	2,783.61	2,844.11	1,168.16	NA
Uber →	892.66	765.81	538.73	560.52
 BLU → SMART MOBILITY	0.78	4.15	9.22	32.29

PAT (₹ crore)

	FY19	FY20	FY21	FY22
 OLA →	-2,592.93	-2,208.23	-1,116.61	NA
Uber →	43.24	720.74*	-333.89	-216.42
 BLU → SMART MOBILITY	-1.17	-16.72	-39.46	-65.48

NOTE OLA CABS' FINANCIALS INCLUDE CONSOLIDATED FIGURES OF ITS PARENT ANI TECHNOLOGIES' 16 SUBSIDIARIES. IT DOESN'T INCLUDE OLA ELECTRIC. ANI TECHNOLOGIES HAS NOT FILED FY22 FINANCIALS; **NA** NOT AVAILABLE
UBER INDIA'S FY20 PROFIT INCLUDES THE SALE OF UBEREATS INDIA TO ZOMATO IN JANUARY 2020. BLUSMART'S FY19 FINANCIALS ARE STANDALONE NUMBERS, REST ARE CONSOLIDATED
SOURCE PRIVATECIRCLE RESEARCH

said both firms' core ride-hailing business managed to find that path as demand returned after lockdowns were eased. This marked a massive milestone for the decade-old Uber and 13-year-old Ola.

This also meant that the platforms had to retain the new lean

and mean operating structure, steering clear of the growth-focussed, capital-burning past that kept them in the red for far too long. But there was a consequent fall in investments in innovation.

"After such a long battle for market share, both companies seem to

be tired. They are practically doing nothing other than taking a cut of every ride. They are neither investing in technology nor in fleet. That is unfortunate for both users and drivers," says Kaushik Madhavan, VP of Mobility at research firm MarketsandMarkets.

A TINY SLICE

This shift in orientation, in turn, has been necessitated by the sobering reality presented by their books. Despite a decade of operations here, Uber's India business accounts for just about 10 per cent of its global rides, per industry estimates. And Uber India Systems Private Ltd, that manages the mobility business in the country, recorded ₹560.52 crore (about \$68.46 million at current exchange rates) in revenue in FY22—just 0.2 per cent of Uber's US revenue of \$31.88 billion.

"The scale of operations and revenue in India are very negligible when compared to their global operations. They (Uber) are a clear leader in their successful markets. They [have been] here for about a decade, yet don't have significant numbers to show. What is the best use of an Uber dollar globally? I don't see India being that market because if you are 10 years old and still [account for] less than 0.5 per cent of global revenue, why should the company spend here?" says a venture capital investor.

Elsewhere, Uber has been ruthless in exiting markets perceived to have limited growth opportunities. It exited China by selling its local arm to Didi Global Inc., and Southeast Asia by selling its operations to Grab Holdings Ltd. It recently discontinued its mobility business in Israel. In India, too, reports had suggested that the firm explored selling its ride-hailing business.